

Tanker Shipping

Bi-Weekly Industry Report

July 28, 2026

- Geopolitical Risk Premium Broadens** – As July comes to an end, the VLCC market has **reverted to pricing geopolitical risk** as the dominant driver of freight formation, reversing the gradual stabilization that followed the June ceasefire. The latest escalation has **expanded** market attention beyond the Strait of Hormuz to **include the Red Sea** following renewed Houthi attacks, with freight increasingly reflecting operational risk across the Middle East's two principal crude export corridors rather than underlying supply-demand fundamentals. This shift comes despite continued diplomatic efforts. Oman remains the principal intermediary between Washington and Tehran, with recent reports indicating renewed negotiations and a temporary pause in direct military action. While these developments may help contain further escalation, they have yet to restore confidence in commercial shipping, leaving chartering sentiment primarily driven by security considerations. **Commercial tanker traffic continues** through both the Strait of Hormuz and the Red Sea, demonstrating that neither corridor has ceased operating. However, voyage exposure, insurance costs and routing flexibility have become increasingly **important components of fixture negotiations**, reinforcing the geopolitical premium embedded in VLCC freight. For the VLCC market, the key freight dynamic is the potential extension of voyage distances rather than a reduction in crude export volumes. **Broader rerouting** around the Cape of Good Hope would **increase tonne-mile demand** while tightening effective vessel supply, supporting freight even if Gulf export programs remain largely unchanged.
- Oil Prices Jump as Hormuz Flows Slow Down** – Volatility has returned in the oil markets following the renewed attacks by both US and Iran. The **recent mini glut** that followed the exit of more than 100mb from the Persian Gulf last month seem to **have now finished** and low inventories around the globe should be the main driver of oil prices going forward. As such, **we expect** to see oil prices pushing higher, with Brent once again forecasted to settle **above \$100 per barrel**. Although volatility around headlines as it relates to potential ceasefire agreements should play a major role in price direction, fundamentals should begin to drive prices more than before as there is the safety margin is now much smaller given the major drawdown in inventories over the past several months.
- Our Long-term View** – The tanker market has been recovering from a long period of staggered rates as the growth in new vessel supply shrunk while oil demand remained elevated in line with the global economy. The recent rapid increase in freight rates has led to significant new vessel ordering, with the orderbook now standing at well above average levels, and although in the near term such a supply/demand misbalance is small, we expect a meaningful negative balance to develop longer term leading to an industry downcycle.

Short-term Indicators

Momentum: **Positive**

Sentiment: **Neutral**

Fundamentals: **Positive**

Breakwave Tanker Futures Index: 5845

30D: 19.9% **↑**

YTD: 297.8% **↑**

YOY: 408.1% **↑**

VLCC Middle East-Asia Spot Rates: 78.17

30D: -6.9% **↓**

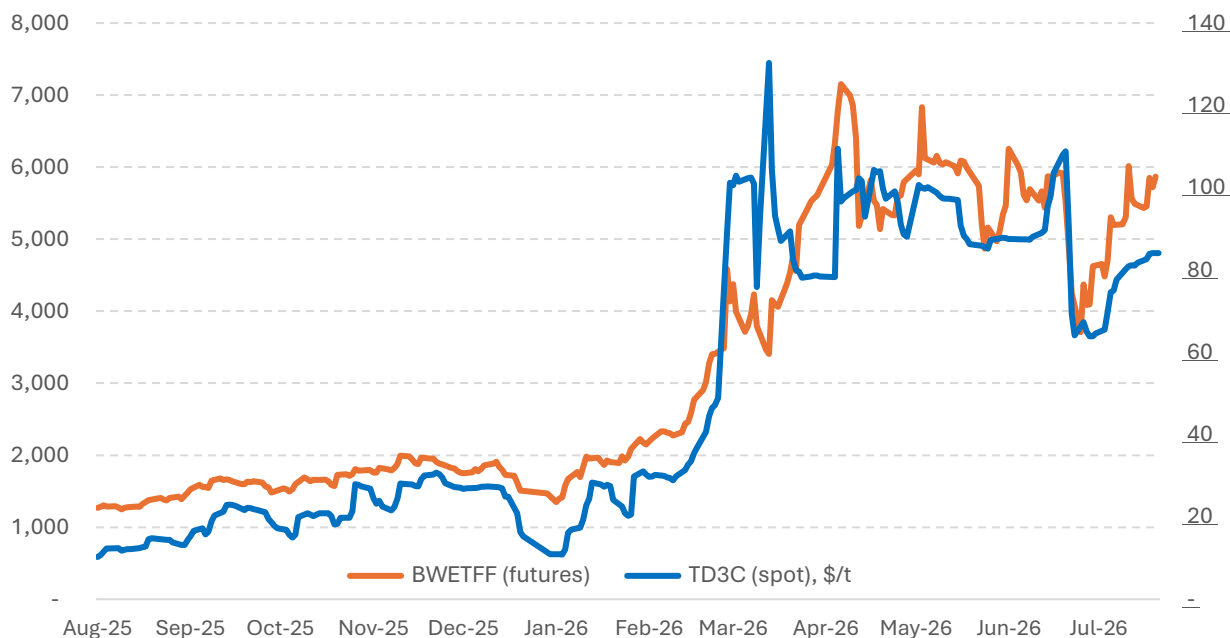
YTD: 449.1% **↑**

YOY: 684.9% **↑**

Reuters: BWET.K
Bloomberg: BWET US
Exchange: NYSE

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VLCC Spot Index (TD3C) vs Breakwave Tanker Futures Index (BWETFF)



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	106,373 kbpd	0.9%
Oil Supply, OPEC	18,750 kbpd	-33.8%
Oil Supply, non-OPEC	79,663 kbpd	8.7%
OECD Total Crude Oil Stocks	1080.7 MMbbls	2.3%
US Crude Oil Exports	65.8 MMbbls	0.7%
China Oil Imports	826.7 MMbbls	-0.8%
Global Crude Oil On Water	1377.5 MMbbls	19.1%

Supply

Tanker Fleet	726.7 mdwt	3.7%
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Freight Rates

VLCC Middle East-Asia, USD/ton	66.58	421.7%
Suezmax West Africa-Europe, USD/ton	37.28	130.6%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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